

Corning Incorporated (NYSE: GLW)

Technology Equity Research

CORNING

Company Overview and Rationale

Corning Inc. is the leading glass manufacturer in the United States that manufactures specialty glass, ceramics, and optical fiber/cable, and has recently shifted into AI networking which has led the stock price to rise over 200% over the last 2 years. Moreover, as optical content continues to grow quickly in AI clusters, as evident through companies like Lumentum, Amphenol, and Coherent, in all different directions, which Corning sells as integrated systems. Corning's management team has been consistently emphasizing how they are aiming to achieve a lower total installed cost throughout their quarterly earnings reports. Since they own the entire stack, the Corning is not exposed to rising prices across the optical content industry. The company is also entirely U.S. based, which reduces supply chain risks across tariffs and other global issues.

Key Metrics

Price: \$165.68 (as of 8/07/26)

52-wk Range: \$54.89 - \$271.78

% of high: 53.9%

Trailing P/E: 71.50x

Forward P/E: 47.50x

Market Cap: \$126.21B

LTM Revenue: \$16.321B

Growth Assumptions

Optical Communications – Growth is modeled to accelerate to a 2028 peak before decelerating, which is drawn directly from management's Springboard framing. The catalysts in that window include the Meta and Amazon LTAs ramping through 26/27 and the third anticipated hyperscaler agreement. Also, the migration to 1.6T alongside the 2027 GPU generation step up, combined with an increase in data center capacity increasing. This path also doesn't fully factor in the inside-the-box opportunity, which has a forecast potential with uncertain timing and adoption, which can be found in the bull case.

Electronic Glass and Advanced Optics – The projections show high single-digit growth fading to mid-single digit growth because the sector relies mainly on display glass, a mature market where growth mostly comes from panel-size mix and pricing instead of unit volume. There is also a cyclical to this segment due to smartphone cycles, which is forecasted in the 2026 quarters. The advanced optics sub-sector will also see growth from semiconductor capital spending, although it is the smallest of the three sub-sectors.

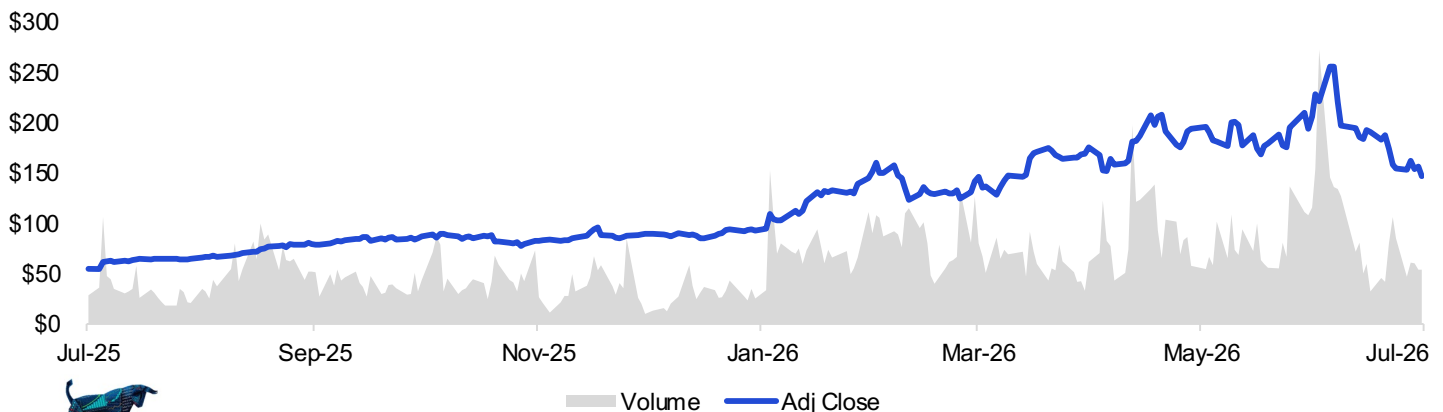
Automotive – Projecting a mid-single-digit growth reflecting the relatively flat global projection, combined with rising content per vehicle. Corning's exposure comes mainly from emissions, substrates, and filters based on increasing standards. The chosen 5% rate sits above the vehicle production growth and included increase in revenue per car, with EV adoption being the principal risk to that assumption.

Life Sciences – This segment projects in low single-digit growth consistent with a business that tracks pharmaceutical research budgets, which grow very slowly. 3% growth approximates the end market growth with no share gain or loss due to a lack of a specific catalyst here.

Polycrystalline Silicon – I am projecting mid-single digit growth reflecting the contracted volume from Hemlock's LTAs. This segment's revenue is governed by take-or-pay structures, scheduled outages, and a mix between semiconductor and solar-grade polysilicon, none of which is seasonal. Slow, consistent growth is projected in this segment from a steady flow of contract volume. This segment also carries the most significant noncontrolling interest exposure.

Other – Applied a low growth rate to a residual segment, which represents about 0.6% of 2030 revenue with no additional assumptions.

1-YR Stock Performance



Key Drivers

\$6B Meta Deal and Incoming Deals with Hyperscalers

Historically, Corning has offered a co-investment model on its glass business, and it aims to replicate the same for its artificial intelligence infrastructure as well. This results in their highly profitable business, as it allows them to lock in multi-year and multi-billion-dollar commitments, such as their current one with Meta and Amazon. In addition to this, Corning will be adding another major hyperscaler, per their last earnings call. The fact here is that Corning is just getting started, and if we see similarly sized deals with their next hyperscalers, Corning could eclipse smaller networking players very quickly in terms of AI revenue. While the Amazon deal hasn't been fully disclosed, Corning's wording from the Q2 earnings call implied a 4-year and \$6B scope of Meta's. Considering that these 3 deals likely amount to \$15B, analysts had many questions regarding supply allocation, mitigation, and pricing power in the FY26 Q2 earnings call. CEO Wendell Weeks explained that Corning was pursuing LTAs with hyperscalers because optical growth is accelerating robustly, with the widespread agreements allowing Corning to get a balanced coverage, rather than picking a specific winner to allocate most of their supply to. Weeks also mentioned that the 3 LTAs are driving so much growth that there would be expansion across all of Corning's major optical operations, including fiber. Corning plans to expand through its agreement with Nvidia to increase US connectivity capacity by 10x. Corning also confirmed that pricing is favorable to suppliers who have capacity readily available; however, management continued to emphasize that they are not leveraging the supply environment for gains, rather aiming to preserve their customer relations.

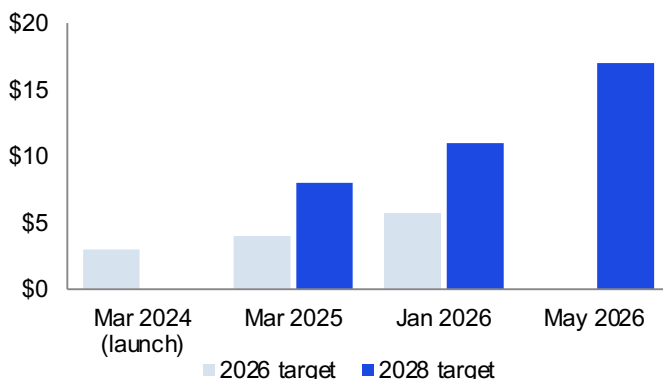
Optics Drive Corning's "Springboard Plan" Incorporating MAP

Corning recently upgraded its "Springboard Plan" at the beginning of May, with optical opportunities and photonics growth driving a majority of the upgrade to Corning's long-term revenue, margin, and earnings targets. The plan projects Corning's revenue growth rates to see a prolonged acceleration from the low-teens to nearly 30% by late 2028. The largest driver of this upgrade is Corning's Photonics Market-Access Platform(MAP), a new vertical starting from scratch this year to a multi-billion-dollar segment by 2030. Corning offered one main driver for the increase in its Springboard plan: "one of the most significant areas we're adjusting for is the timing on scale-up of the network. This impacts both Enterprise and Photonics... So, the timing of when scale-up happens could have a significant impact on our numbers and determine which version of the plan we track to." While management expects scale-up timing and adoption to be the determining factor for long-term growth, near-term growth is likely to come from the scale-out side within Corning's Enterprise MAP, primarily driven by increasing cluster sizes through the transition to 1.6T. Broadcom's current Tomahawk6 can support >100K clusters, yet Corning explained that moving beyond 130K clusters would drive optical content per GPU 50% higher. The logic is that cluster sizes greater than 130K GPUs will require a third optical layer. By Q1 2027, Epoch AI is estimating that there will be 46 frontier data centers with >100K H100 equivalents, and 8 with >500K, compared to only one cluster with 100K as of Q1 2025. A secondary driver for MAP will be GPU bandwidth increases. While this is not a driver for Rubin, Corning could drive growth within the generation through higher ASPs on the shift up to 200G, as the optical content remains the same. Management expects the next bandwidth upgrade for Nvidia's GPUs to occur with Feynmann in the 2029-2030 timeframe, though if this is driven by the shift to 400G, content will again stay the same. While bandwidth isn't likely to be the key driver of growth aside from a potential uptick in ASPs, management expects cluster sizes to drive an up to 50% uptick in demand, allowing sustain >30% growth in its Enterprise Networks segment of Optical Communications, already up 36% YOY in Q1, vs. 30% in Q4.

Inside-the-Box Could Provide a New Growth Vector

Up till this point, Corning hasn't forecasted significant scale-up revenue between now and 2028. However, a shift in Q1 explains that discussions with key customers and architectural shifts have increased the probability of scale-up revenue appearing. The largest opportunities from scale-up and moving "inside-the-box" are more likely geared towards 2028. As of now, Corning's opportunities lie outside the box with its fiber connectors providing links. Corning's advantage with single-mode-fiber (SMF) connections inside-the-box could allow it to emerge as a key winner, delivering higher throughput with lower latency. It is difficult to put into perspective what the fiber opportunities inside-the-box could look like for Corning, but they are targeting Nvidia's upcoming Quantum-X Photonics InfiniBand switch. Management is confident that this new inside-the-box opportunity is large, with the potential to add \$10 billion in revenue by 2030, yet the challenge will be timing and adoption.

Consistent Ramping of Springboard Plan



Revenue Forecasts With Inside-The-Box Potential (\$M)

